

Table V: Labor and Non-Labor Portions of Total Taxes

Year	Total Taxes	Labor	Non-Labor
1952	90.105	34.58	55.53
1953	94.619	36.31	58.31
1954	89.874	34.89	54.99
1955	101.101	38.56	62.54
1956	109.650	43.68	65.97
1957	116.173	47.35	68.82
1958	114.973	47.84	67.13
1959	129.424	53.68	75.74
1960	139.497	59.96	79.54
1961	144.818	62.27	82.55
1962	156.699	68.43	88.27
1963	168.503	74.28	94.22
1964	174.020	74.52	99.50
1965	188.351	80.74	107.61
1966	212.281	97.21	115.07
1967	228.196	108.52	119.68
1968	263.167	125.15	138.02
1969	296.740	144.77	148.97
1970	302.883	151.39	151.49
1971	322.644	157.06	165.58
1972	368.529	184.74	183.79
1973	413.439	211.25	202.19
1974	455.652	236.71	218.94
1975	470.962	241.70	229.26
1976	539.020	277.57	261.45
1977	606.149	315.86	290.29
1978	682.821	362.21	320.61
1979	766.124	413.94	352.18
1980	839.189	456.39	382.80

a. In billions of \$.

Table VI: Government's Share in the Economy

Year	Total Government Expenditures	(2) GNP	(1)/(2)	$\frac{(1)}{(2)-(1)}$
1952	94.07	347.97	0.27	0.37
1953	101.73	366.79	0.28	0.38
1954	97.2	366.85	0.26	0.36
1955	98.11	400.04	0.25	0.32
1956	104.63	421.7	0.25	0.33
1957	115.43	443.96	0.26	0.35
1958	127.77	449.67	0.28	0.40
1959	131.24	487.0	0.27	0.37
1960	136.65	506.51	0.27	0.37
1961	149.36	524.55	0.28	0.40
1962	161.23	565.04	0.28	0.40
1963	168.00	596.71	0.28	0.39
1964	176.48	637.72	0.28	0.38
1965	188.04	691.05	0.27	0.37
1966	213.77	755.98	0.28	0.39
1967	242.63	799.59	0.30	0.44
1968	269.35	873.39	0.31	0.45
1969	286.93	943.99	0.30	0.44
1970	313.60	992.73	0.32	0.46
1971	342.28	1077.62	0.32	0.47
1972	372.0	1185.92	0.31	0.46
1973	405.76	1326.4	0.31	0.44
1974	460.45	1434.22	0.32	0.47
1975	534.79	1549.21	0.35	0.53
1976	575.55	1718.02	0.34	0.50
1977	624.03	1918.32	0.33	0.48
1978	682.05	2163.86	0.32	0.46
1979	751.91	2417.76	0.31	0.45
1980	872.53	2633.11	0.33	0.50

a. Excludes the surpluses derived from commercial activities of the government.

b. According to Paul Mattick, who considers all government expenditures as unproductive expenditures, the ratio of total government expenditures to gross national product excluding government expenditures is a more accurate indicator for the increasing role of the State in capitalist economy.

slowed down and stabilized at around one-third of the GNP.¹⁷

The Structure of Government Expenditures

There are different ways of breaking down government expenditures to determine the components that are most responsible for the increased GNP share of the state sector in the U.S. Hyman, for example, has divided "government expenditures into four major categories for the Federal Government:

1. Purchases of goods and services (exhaustive expenditures)
2. Transfer payments to persons
3. Grants-in-aid to state and local governments
4. Net Interest paid "(Hyman, 1983, p. 21)¹⁸

Musgrave has a similar breakdown of 'Purchases versus Transfer Payments' (Musgrave and Musgrave, 1980, p. 145). He has in addition adopted another designation of expenditures, that of 'Defense versus Civilian Expenditures'. The rationale behind the latter was to determine whether the "...expenditure growth is to be explained in terms of expenditures for defense, or whether it applies to civilian expenditures as well." (Musgrave and Musgrave, 1980, p. 144)¹⁹

A third breakdown of government expenditures is known as the functional classification and is better than the previous two in allocating incomes and benefits received from the state to labor and non-labor segments.

The functional classification, used also by NIPA²⁰, is adopted in this study. The functions and subfunctions, which are necessary to make allocative assumptions are presented in Table VII.

The change in government expenditures by functions for selected years is summarized in Table VIII.²¹

4. Method of Allocation of Government Expenditures and Related Assumptions

The question to be addressed concerning total Federal, state and local expenditures involves the relationship of such expenditures to labor income and/or the consumption of workers. In other words, all of the 21 categories of government expenditures must be allocated to the labor and non-labor segments of society depending upon their content. At a general level, we can regard state activities expenditures as directed toward securing the conditions of social reproduction. Within this, we can designate two types of activities. One set are those in which the state directly supports reproduction of the working class; a second set of activities reproduces capital and capitalist class. For our purposes we focus on the first set of activities which directly support labor income and consumption through various kinds of government expenditures. On the other hand, the kinds of state expenditures which do not directly support labor income or consumption, can be considered as a form of faux fraix for the capitalist

Table VII: GOVERNMENT EXPENDITURES BY FUNCTION

Functions:	Federal	Sub functions:	State and Local
Central executive, legislative and judicial activities	Central administration and management; tax collection and financial management; Legislative and judicial activities; other.		Administrative, legislative, and judicial activities; tax collection and financial management
International Affairs	Conduct of foreign affairs and international activities; Foreign economic assistance		----
Space	National Aeronautics and Space Admin.		----
National Defense	Military activities: civil defense; Foreign military assistance; other		----
Civilian safety	Police; fire; correction		Police; fire; correction
Education	Elementary and secondary; higher; general research and other		Elementary and secondary; higher, libraries; other
Health and hospitals	-----		Health; hospitals
Income support, social security and welfare	Retirement; old-age and survivors insurance; government employees, civilian; government employees, military; railroad; Disability; disability insurance (social security); Government employees (civilian; government employees, military; Railroad; Other		Government employees retirement and disability; Workmen's compensation and temporary disability insurance; medical care; welfare and social services
Veterans benefits and services	Disability and survivors compensation; Education; insurance; hospitals and medical care; other		----
Housing and community services	Urban renewal and community development; housing; water and sewerage		Housing, community development and urban renewal; water; sewerage; sanitation
Recreational and cultural activities	Recreational and cultural activities		Recreational and cultural activities

Natural resources	Natural resources	Natural resources
Transportation	Highways; water; air; railroad; transit	Highways; water; air; transit and railroad
Postal service	-----	-----
Economic development, regulation and services	Economic development assistance; regulation of commerce and finance; other	-----
Labor training and services	Training programs; other	-----
Commercial activities	-----	Publicly-owned liquor store system; government-administered lotteries and parimutuels; other
Net interest paid	Net interest paid	Net interest paid
Other and unallocable	other and unallocable; revenue sharing	Other and unallocable

Table VIII: Government Expenditures by Function

	1952		1960	
	Billions of \$	% of Total	Billions of \$	% of Total
Total	94.065	100.00	136.647	100.00
Central executive, legislative & judicial activities	2.999	3.19	4.047	3.23
Internal affairs	2.282	2.43	2.030	1.49
Space	0	0.00	0.572	0.42
National defense	45.728	48.61	44.364	32.47
Civilian safety	2.084	2.22	3.948	2.89
Education	8.393	8.92	18.665	13.66
Health and hospitals	2.496	2.65	4.602	3.37
Income support, social security, and welfare	7.983	8.49	22.919	16.77
Veterans benefits and services	5.692	6.05	5.852	4.28
Housing and community services	1.290	1.37	1.975	1.44
Recreational and cultural activities	0.337	0.36	0.894	0.65
Energy	0.272	0.29	0.530	0.39
Agricultural	1.509	1.60	3.456	2.53
Natural resources	1.103	1.17	1.362	0.99
Transportation	5.383	5.72	10.235	7.49
Postal service	0.834	0.89	0.691	0.51
Economic development, regulation and services	0.233	0.25	0.644	0.47
Labor training and services	0.250	0.27	0.448	0.33
Net interest paid	4.687	4.98	7.597	5.56
Other and unallocable	0.542	0.58	1.456	1.07

a. NIPA, T.3.15.

b. Equal federal government expenditures less grant-in-aid to state and local governments plus state and local government expenditures.

c. Excludes interest received by state and local social insurance funds, which is netted against expenditures for the appropriate functions.

Table VIII: Government Expenditures by Function

	1970		1980	
	Billions of \$	% of Total	Billions of \$	% of Total
Total	313.595	100.00	872.531	100.00
Central executive, legislative & judicial activities	9.936	3.17	30.089	3.44
Internal affairs	2.419	0.77	5.935	0.35
Space	3.574	1.14	5.009	0.57
National defense	73.364	23.39	131.088	15.02
Civilian safety	9.727	3.10	28.652	3.28
Education	56.119	17.90	148.387	17.01
Health and hospitals	13.194	4.21	40.501	4.64
Income support, social security, and welfare	72.850	23.23	284.992	32.66
Veterans benefits and services	9.972	8.18	22.365	2.56
Housing and community services	4.443	1.42	18.522	2.12
Recreational and cultural activities	2.580	0.82	7.941	0.91
Energy	1.028	0.33	5.382	0.62
Agricultural	5.780	1.84	9.548	1.09
Natural resources	2.692	0.86	7.215	0.83
Transportation	19.921	6.35	40.974	4.70
Postal service	2.274	0.73	2.700	0.31
Economic development, regulation and services	1.777	0.57	4.521	0.52
Labor training and services	1.777	0.57	6.759	0.77
Net interest paid	14.978	4.78	51.943	5.95
Other and unallocable	5.190	1.66	19.968	2.29

a. NIPA, T.3.15.

b. Equal federal government expenditures less grant-in-aid to state and local governments plus state and local government expenditures.

c. Excludes interest received by state and local social insurance funds, which is netted against expenditures for the appropriate functions.

society. What Marx said in the following quote with respect to the role of the production of money commodities is directly applicable to such state expenditures

"The sum of labor-power and social means of production that is spent in the annual production of gold and silver as instruments of circulation forms a heavy item for faux frais for the capitalist mode of production, or more generally for a mode of production based on commodity circulation. It withdraws from social use a corresponding sum of possible additional means of production and consumption, i.e. of real wealth. To the extent that the costs of this expensive machinery of circulation are reduced, with the scale of production remaining the same, i.e. at a given level of its extension, the productive forces of social labor are correspondingly heightened." (Marx, 1893, p. 420)²²

Of these 21 categories, 'Central Executive, Legislative, and Judicial Activities', 'International Affairs', 'Space', 'National Defense', 'Civilian Safety', 'Veteran Benefits', 'Agriculture', 'Net Interest' and 'other and unallocable' are completely excluded from any such form of labor income or consumption for reasons discussed below.

Central Executive, legislative and judicial activities are excluded because they represent an absorption of taxes by the costs of central administration, management, tax collection financial management and legislative and Judicial activities. They are neither a form of labor income nor workers' consumption; rather, they are largely the requirements of the preservation of society's superstructural institutions.

International affairs expenditures are also excluded because such expenditures directed toward protecting persons, property, and the social relations in a supposedly non-militaristic manner on a world scale.

Space, national defense and civilian safety expenditures are excluded since the first two do much the same militaristically, while the last, consisting of the police, fire and prison systems, also "represents protection of private property, (persons) and social rules and not consumption of any use-values as such" (Shaikh, 1980, p. 36)

Veteran benefits and service are also excluded from labor income or consumption, since medical and insurance expenses represent "the current costs of the damage and destruction of war" (Shaikh, 1980, p. 36).

Agriculture consists of various forms of subsidies and financing to capitalist farmers, such as "stabilization of farm prices and income" and "financing farm ownership and utilities". Hence it cannot be considered a part of labor income or consumption derived from government expenditures.

Net interest paid, and others and unallocables, in the form of net interest paid as such or in the form of general revenue sharing, "largely represent payments to the highest income brackets" (Shaikh, 1980, p. 36) and hence are excluded from labor income and consumption.

Of these remaining 12 categories, education, health